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# IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

## CP(CAA)/32 & 44 (CHE)2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

of

**MEDALL SCANS AND LABS PRIVATE LIMITED**
CIN NO: U74990TN2010PTC078126
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant / Transferor Company – 1*

And

**MEDALL SCANS AND LABS KUMBAKONAM PRIVATE LIMITED**
CIN NO: U74990TN2010PTC078156
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 2*

And

**MEDALL SCANS AND LABS MAYILADUDURAI PRIVATE LIMITED**
CIN NO: U74220TN2010PTC078159
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 3*

And

**MEDALL SCANS AND LABS TIRUVANNAMALAI PRIVATE LIMITED**
CIN NO: U74990TN2011PTC079015
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 4*

And

**MEDALL SCANS AND LABS KALLAKURICHI PRIVATE LIMITED**
CIN NO: U74990TN2011PTC079021
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 5*

And

**MEDALL SCANS AND LABS CHENGALPATTU PRIVATE LIMITED**
CIN NO: U74900TN2011PTC081054
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 6*

And

**MEDALL SCANS AND LABS ARUPUKOTTAI PRIVATE LIMITED**
CIN NO: U74990TN2011PTC081039
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 7*

And

**MEDALL SCANS AND LABS ARANTHANGI PRIVATE LIMITED**
CIN NO: U74999TN2011PTC081056
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 8*

And

**MEDALL SCANS AND LABS KOTTAYAM PRIVATE LIMITED**
CIN NO: U74999TN2011PTC081047
67, Anna Salai, TNPL Building,
II Floor, Guindy,
Chennai – 600 032

*... Applicant/ Transferor Company – 9*

With

**MEDALL HEALTHCARE PRIVATE LIMITED**
CIN NO: U85110TN1994PTC029023
No.191, Poonamalle High Road,
Kilpauk,
Chennai – 600 010

*... Applicant/ Transferee Company*

*And*

**Their Respective Shareholders and Creditors**

*Order Pronounced on* ***26th August 2022***

CORAM

**JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT**
**SAMEER KAKAR, MEMBER (TECHNICAL)**

*For Applicant(s): Hema Srinivasan, Advocate,*
*Umayaparvathi.N, Advocate*

## COMMON ORDER

***Per:*** **SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **MEDALL SCANS AND LABS PRIVATE LIMITED** (for brevity "Transferor Company – 1") and **MEDALL SCANS AND LABS KUMBAKONAM PRIVATE LIMITED** (for brevity "Transferor Company – 2") **MEDALL SCANS AND LABS MAYILADUDURAI PRIVATE LIMITED** (for brevity "Transferor Company

– 3") **MEDALL SCANS AND LABS TIRUVANNAMALAI PRIVATE LIMITED** (for brevity "Transferor Company – 4") **MEDALL SCANS AND LABS KALLAKURICHI PRIVATE LIMITED** (for brevity "Transferor Company – 5") **MEDALL SCANS AND LABS CHENGALPATTU PRIVATE LIMITED** (for brevity "Transferor Company – 6") **MEDALL SCANS AND LABS ARUPUKOTTAI PRIVATE LIMITED** (for brevity "Transferor Company – 7") **MEDALL SCANS AND LABS ARANTHANGI PRIVATE LIMITED** (for brevity "Transferor Company – 8") **MEDALL SCANS AND LABS KOTTAYAM PRIVATE LIMITED** (for brevity "Transferor Company – 9") **MEDALL HEALTHCARE PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as 'Annexure - A' to the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Companies (1 to 9) and Transferee Company have filed the First Motion Application vide CA(CAA)/73-82/(CHE)/2021 seeking directions for dispensation of meeting of Equity Shareholders and Unsecured Creditors of all the Transferor Companies and

seeking holding of meeting of Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated 24th November 2021, to dispense the meetings of Equity Shareholders and Unsecured Creditors of all the *Transferor Companies.* It was represented that there are no Secured Creditors in respect of the Transferor Company (1 to 9) and this Tribunal directed to convene the meetings of Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the *Transferee Company* on 24th January 2022 at No.191, Poonamalle High Road, Kilpauk, Chennai – 600 010 at 11:00 AM, 12:00 PM, 01:00 PM & 03:00 PM respectively. Accordingly, the Tribunal has appointed Mr.Arjun Ananth, Director of the Transferee Company as Chairperson and Mr.Sunil Kumar Dixit as the Scrutinizer for the above said meetings. Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies on 21.02.2022 for sanction of the Scheme of Amalgamation by this Tribunal.

3.3. The Chairperson has submitted his Report on the above said meetings on 4th February, 2022 with the Tribunal. From the Chairperson's report, it is observed that the Equity Shareholders, Preference Shareholders, Secured Creditors and the Unsecured Creditors of the Transferee Company had consented in favour of the Scheme. The said Chairperson's report is also annexed as "Annexure C" to the typed set filed along with the Petition.

## 4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefits;

a) The Transferee Company is the holding company of Transferor Company 1 and ultimate holding company of Transferor Company 2 to Transferor Company 9. The Transferor Companies engage in the same line of business as that of the Transferee Company. Since the Transferor Companies and Transferee Company are part of the same group of companies and in the similar line of business,

running separate entities would be time consuming and results in futile spending. This Scheme would result in simplified corporate structure for the group and their businesses, thereby leading to more efficient utilization of capital and creation of a consolidated base for future growth of the group.

b) The amalgamation will enable consolidation of operations of the Transferor Companies with the Transferee Company which will facilitate focused growth, operational efficiency, business synergy, better supervision of the business and more productive utilization of resources.

c) The amalgamation will enable pooling of resources and core services, financial and other resources of the Transferor Companies with the resources of the Transferee Company to their advantage, resulting in more productive utilization of said resources, and cost and operational efficiency which would be beneficial for all stakeholders.

d) The amalgamation will facilitate reduction in administrative costs and reduce the multiplicity of legal compliances/ filings.

e) The amalgamation of the Transferor Companies with the Transferee Company will help in the creation of a platform for future business activities, and to act as a gateway for growth and expanding business operations wherein the business activities of the Transferor Companies can be advantageously combined with the business activities of the Transferee Company, thus leading to substantial growth opportunities.

f) The amalgamation will result in increased financial strength and flexibility and enhance the ability of the amalgamated entity to expand its operations thereby contributing to the future business potential;

g) There is no likelihood that interests of any shareholder or creditor of any of the Transferor Companies or the Transferee Company would be prejudiced as a result of the Scheme and is in the best interest of the stakeholders ie shareholders, creditors, employees etc. The Scheme of

Amalgamation will not impose any additional burden on the members of the Transferor Companies or the Transferee Company.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 20.04.2022 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) Official Liquidator (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Dina Mani" Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 16.06.2022 and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Dina Mani" (Tamil Nadu Edition) in Tamil on 10.06.2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 23rd May 2022, (ii) Registrar of Companies Chennai on 23rd May 2022, (iii) Official Liquidator on 23rd May 2022 (iv) Income Tax

Department through email on 23rd May 2022 and through registered post on 24.05.2022, and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

## 7. STATUTORY AUTHORITIES

### 7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 20.07.2022 and has stated that Para 10 of Part III of the Scheme provides for the protection of employees of the Transferor Company (1 to 9). All staff and employees of the Transferor Company (1 to 9), in service on the Effective Date, shall be deemed to have become staff and employees of the Transferee Company, with effect from the Appointed Date or date of joining whichever is later, without any break in their service and other benefits.

**7.2.** It is further averred in para 8 of the RD Report that as per Clause 14 of Part III of the Scheme, the Transferee Company being the holding company of Transferor Company

1 and the ultimate holding company of Transferor Company (2 to 9). As such the Transferee Company shall not issue and allot shares to the Shareholders of Transferor Company (1 to 9) and the entire paid-up share capital of the Transferor Company (1 to 9) held by the Transferee Company in Transferor Company 1 and by the Transferor Company 1 in Transferor Company (2 to 9) shall stand cancelled and extinguished without any further application, act or deed upon effectiveness of the Scheme of Amalgamation.

**7.3.** It is further averred in para 9 of the RD Report that Clause 13 of Part II of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company (1 to 9) shall be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 211,88,00,050 (Rupees Two Hundred Eleven Crore Eighty-Eight Lakh Fifty Rupees) divided into 18,55,985 Equity Shares of Rs. 10 each; 7,000 A Series Equity Shares of Rs. 10 each; 10,000 B Series Equity Shares of Rs. 10 each; 7,000 C Series Equity Shares of Rs. 10 each; 8,85,25,035 Class A-Compulsorily

Convertible Preference Shares of Rs. 10 each; 9,00,00 Class B-Compulsorily Convertible Preference Shares of Rs. 10 each; 10,74,985 Class C-Compulsorily Convertible Preference Shares of Rs. 10 each; 2,50,00,000 Class D - Compulsorily Convertible Preference Shares of Rs. 10 each; 3,25,00,000 Class E-Compulsorily Convertible Preference Shares of Rs. 10 each; 62,00,000 Class F-Compulsorily Convertible Preference Shares of Rs. 100 each. That the NCLT, Chennai may direct the Transferee Company to make remittance of fee / stamp duty, if any, after setting off the remittance made by the Transferor Companies on the proposed increase of authorized share capital and also to file the amended MOA and AOA on the above with the Registrar of Companies.

**7.4.** It is further observed that as per para 12 of the RD report wherein it has been stated that as per the Report of the RoC, Chennai, the Transferor Company (1 to 9) and Transferee Company are regular in filing their statutory returns up to 2020 -2021 and has reported that there are no prosecution / complaint/inspection or Investigation is pending against the Companies.

**7.5.** Thus, after examining the Scheme, except the observations made in para 9 as set out in para 7.3 above of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

**7.6. OFFICIAL LIQUIDATOR**

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 05.07.2022 and has stated that they have appointed M/s. R.Gopal & Co., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Transferor Companies are maintaining proper books of accounts and statutory records as per requirements of the Companies Act, 2013;
- All entries have been made in the Statutory Registers by the Transferor Companies in accordance with the requirements of the Companies Act, 2013 well within the statutory time prescribed under the Act and no discrepancies were noted. The statutory registers are maintained by the companies.
- The accounts and records of the companies have been audited and the Auditor's reports did not contain

any qualifications/adverse remarks for the year ended 31/03/2018, 31/03/2019, 31/03/2020 and 31/03/2021 The Chartered Accountants further states that:

- The Transferor Companies have maintained proper books of accounts as per the requirement of the Companies Act, 1956 and Companies Act, 2013 and in accordance with the normally accepted accounting principles

- The undisputed dues in respect of Provident Fund, Investor Education Protection Fund, Employees State Insurance, Income Tax, Sales Tax, Wealth Tax, Customs Duty, Exercise Duty, Cess and other material statutory dues applicable to the companies have generally been regularly deposited by the company with the appropriate authorities.

- No undisputed amounts payable in respect of Provident Fund, Investor Education Protection Fund, Employees State Insurance, Income Tax, Sales Tax, Wealth Tax, Customs Duty, Excise Duty, Cess and other material statutory dues applicable to the Companies were in arrears for a period of more than 6 months from the date they became payable.

- The Companies have filed various returns with Registrar of Companies in time and no case was pending against the company or any of its Directors / Officers and no prosecution has been launched under any of the Sections of the Companies Act against the Companies or any of its Directors. There are no complaints of any nature against the Companies or Directors.

- The Transferor Companies have not accepted any deposits from public.
- The Chartered Accountants have examined the records and documents of the Registrar of Companies, Coimbatore and nothing adverse or objectionable affecting the interest of the companies or its members or creditors or prejudicial to the public interest was noticed.

**7.7.** Further in Para 5 of the OL report it was further submitted that on scrutiny of the books of accounts, records and registers etc. of the above said Transferor Companies, the Chartered Accountants are of the opinion that the business of the Transferor Companies have not been carried on with intent to defraud the creditors or any other person or for any, fraudulent purpose attracting the penal provisions of Section 339 of the Companies Act, 2013. No director, or officer or any other person of the companies misapplied or diverted or retained or became liable or accountable for any money or property of the companies or has been found guilty of any misappropriation, breach of trust in relation to the companies under the Companies Act, 2013. In view of the above observations, the Chartered Accountants are of the concerted opinion that the affairs of the Transferor Company (1 to 9) have not been conducted

in a manner prejudicial to the interest of its members or creditors or public.

**7.8.** From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company (1 to 9). In this regard, this Tribunal hereby directs the Transferor Company (1 to 9) jointly to pay a sum of **₹1,80,000/-** *(Rupees One Lakh and Eighty Thousand Only)* **+ *GST*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company (1 to 9).

### 7.9. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. The Income Tax Department do not have any objection to the sanction of the Scheme.

**7.10.** Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

**7.11** In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

*"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

The said finding will apply to the present scheme as well.

## 8. ACCOUNTING TREATMENT

8.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed as 'Annexure – K ' in the typed set filed in the CA(CAA) 73-81(CHE)/2021 and 'Annexure – I' in the typed set filed in the CA(CAA) 82(CHE)/2021 .

## 9. OBSERVATIONS OF THIS TRIBUNAL

9.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since

all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as **Annexure "A"** with the Company Petition as well as the prayer made therein.

9.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in

accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company (1 to 9) shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company (1 to 9) shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April 2020** as mentioned in clause 4.4 of Part II of the SCHEME itself.

(iv) That all proceedings now pending by or against the Transferor Company (1 to 9) be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company (1 to 9) in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service and with all eligible statutory benefits .

(vi) Since the Transferor Company 1 is a wholly owned subsidiary of the Transferee Company and the Transferor Company 2 to Transferor Company 9 are

wholly owned subsidiaries of the Transferor Company 1 which makes the Transferee Company the ultimate holding company of the Transferor Companies. Hence, there shall be no issue of shares as consideration for the amalgamation of the Transferor Company with the Transferee Company.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company (1 to 9).

(viii) That the Transferor Company (1 to 9) and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company (1 to 9) shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company (1 to 9) registered with him on the file kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

11. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.

-Sd-

**SAMEER KAKAR**
MEMBER (TECHNICAL)

-Sd-

**Justice RAMALINGAM SUDHAKAR**
PRESIDENT